Tenet Healthcare Corporation (THC) — Research Summary

Healthcare | Medical Care Facilities | 2026-10-30

Price: $273.25	**Signal:** BUY (7.65/10)	**Market:** bull_tech

Equity Research Summary: Tenet Healthcare Corporation (THC)

Rating: BUY (7.65/10) | Price: $273.25 | Market Cap: $22.0B

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1. Company Overview & Investment Thesis

Tenet Healthcare is a diversified healthcare services company operating acute care hospitals and a fast-growing network of ambulatory surgery centers across the United States. The investment case is straightforward: Tenet is executing a strategic pivot toward higher-margin outpatient and higher-acuity services, and the results are showing up in dramatic earnings beats and rising guidance. At roughly 10.5x trailing earnings, the stock remains attractively valued despite trading near its 52-week high.

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2. Fundamental Snapshot

Valuation: Tenet trades at a trailing P/E of 10.6x and forward P/E of 12.9x — inexpensive for a company compounding earnings this quickly. EV/EBITDA sits near 6.4x ($32.9B EV / $5.1B EBITDA), and price-to-free-cash-flow is modest given $1.5B in free cash flow. The P/S of ~1.0x is undemanding for the sector.

Earnings Trend: The standout story. Tenet has beaten estimates for four straight quarters, with the magnitude of beats *accelerating* — most recently Q3 2026 EPS of $6.64 crushed the $4.60 estimate by 44%. Management raised full-year guidance on the back of margin gains and ambulatory expansion.

Growth & Margins: Revenue grew 16.9% year-over-year in the latest quarter to $6.3B, with operating margins expanding to 27.9%. Profit margin stands at a healthy 13.1%. Net income reached $1.0B in Q3 alone.

Balance Sheet: Leverage is the main watch item — $13.2B total debt against $2.7B cash gives a net debt position and a D/E ratio of 2.43. This is typical for hospital operators, and strong cash flow supports servicing it comfortably.

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3. Technical Outlook

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Tenet is trading near the top of its 52-week range ($157.58–$283.05), currently at $273.25 — roughly 73% above its yearly low and within striking distance of its high. This signals strong, sustained momentum rather than a fading trend, driven by the post-earnings rally following the October 29 report.

Levels to watch: Resistance sits near the recent high of **$283**, with a breakout potentially opening new ground. Support can be found in the **$255–$260** zone around recent consolidation. The pullback to $269 on October 21 (before earnings) proved to be a temporary dip ahead of a strong result.

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4. News & Sentiment

Overall Sentiment: Bullish

Three key themes emerge from recent coverage:

1. **Blowout quarter and raised outlook** — The Q3 earnings beat and upgraded full-year guidance dominate the narrative, with multiple outlets highlighting hospital strength and ambulatory growth.

2. **Sector divergence** — Tenet is outperforming peers. Rivals Community Health Systems (CYH) posted a loss, Universal Health Services (UHS) missed, and HCA Healthcare spooked the sector with a weak 2027 outlook citing a $400M hit from rising uninsured patient costs. Tenet stands out as the clear winner in a mixed group.

3. **Industry-wide risk** — The HCA warning on uninsured costs is a reminder that reimbursement and policy pressures loom over the entire sector.

(Note: Several "Tenet" headlines refer to Tenet Fintech Group, an unrelated Canadian company — not Tenet Healthcare.)

The market narrative is decidedly positive: Tenet is seen as the best-executing operator in its space, delivering consistent upside surprises while peers stumble.

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5. Bottom Line

Aerondight Systems Signal: BUY (7.65/10)

Thesis: Tenet is a high-momentum hospital operator trading at a discount valuation while delivering accelerating earnings beats and expanding margins — a rare combination of growth and value.

Upcoming Catalyst: The next quarterly report (Q4 2026) will test whether the beat-and-raise streak continues; near-term, the midterm elections and any healthcare policy shifts bear watching.

Risk Level: Medium — The operational story is strong and the valuation is reasonable, but elevated debt (D/E 2.43), sector-wide reimbursement pressures, and the stock's position near all-time highs temper the risk profile.

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